



RALLYS EQUITIES PRIVATE LIMITED

Allowing Client Access to Online Trading Service

PROCEDURES FOR ALLOWING CLIENT ACCESS TO ONLINE TRADING SERVICE

These procedures are formulated in accordance with Regulation 4(c) of Internet Trading Regulations of Pakistan Stock Exchange Limited dated July 02, 2012. This covers the following aspects with respect to clients' access to the online trading (KITS) system.

- ☐ Agreement with the brokerage house.
- ☐ Assigning of Trading Limits.
- ☐ Placement and Execution of Clients' Orders.
- ☐ Mode and timing of reporting trade confirmation to clients.
- ☐ Margin Requirement and Margin Calls.

AGREEMENT WITH THE BROKERAGE HOUSE

The clients who wish to trade online through internet trading facility of RALLYS EQUITIES PRIVATE LIMITED will be required to open an account with the company by signing account opening and sub account opening form and providing requisite documents. Once the account is opened, the client will need to sign another form "Internet Trading Facility Form" to get the online access for trading. The terms and conditions in the Internet Trading Form constitute an agreement between RALLYS EQUITIES PRIVATE LIMITED and the client. After getting all the formalities completed, RALLYS EQUITIES PRIVATE LIMITED will forward login Id, Password, PIN code and second level password at the registered email address of the client

ASSIGNING OF TRADING LIMITS/MARGINS

According to the company's policy and in view of the internet security concerns, the company usually allows limited number of clients to trade on margins through online (internet based) trading and most of the clients only allowed to trade against cash/credit in his account with the company. For selling the securities, company does not allow any single client to sell the securities through internet trading system unless the delivery of securities is made available in his/her CDC sub account (computerized custody account) with the company.

Trading Limits/Margins only allowed in Future Market Trading. Any client desires trading limit/margins in future market is required to make a formal/verbal or on telephone request to the company. Trading limits/margins are not usually assigned to every account. After receiving a formal/verbal or on telephone request from the client, the management decides to assign trading limit/margin to that client on the basis of established relationship, trading pattern and payment history. The management forwards the IT administrator to assign the limit/margin on the system and maintain the record.

PLACEMENT AND EXECUTION OF CLIENTS' ORDERS

When the client account is opened, RALLYS EQUITIES PRIVATE LIMITED. forwards the login Id, Password and PIN code at registered email of the client. To place and execute the order, client needs to download the App “KITS” at kits.psx.com.pk and access his/her online account by sign in at KITS with the login Id and password provided to him/her. After signing in, client can place and execute his/her order through purchase and sell window available in the tool bar of the trading screen. When a client place online order through internet, it comes to our dedicated risk management system examine the order as per applicable limit/margin/risk management policy before forwarding it to the stock exchange’s trading engine.

MODE AND TIMING OF REPORTING TRADE CONFIRMATION TO CLIENTS

Our online trading system (KITS) confirms execution of the order at the same time it is executed. An order received through internet (KITS) is timely processed with no time lag. Similarly, the confirmation of the execution of an order is also PSX sent to the client end on timely basis. In addition, we also confirm all the executed trades in a report form to the clients through emails or sms at the end of the day.

MARGIN REQUIREMENT AND MARGIN CALLS

RALLYS EQUITIES PRIVATE LIMITED generally allows limited number of clients to trade against margins through the internet based (online) trading system. Mostly online clients are allowed to trade against cash/credit in account. The limit/margin assigned to any of the client is managed under a dedicated risk management system. If any shortfall arises in margins, the margin call is raised to the client accordingly. In case of system problem, the pending orders may be cancelled by calling at PTCL recorded landline of RALLYS EQUITIES PRIVATE LIMITED